

don't take this as still valid). What would happen if you considered patterns that have bottoms only a week or so apart? I tested the idea and discovered that the chart pattern performs well.

All of the statistical results in this chapter use the weekly scale. Thus, the search for the ultimate high will result in larger values than if it is conducted on the daily scale. That's because on the daily scale, price can close below the bottom of a pattern (forcing an end to the search for the ultimate high), but on the weekly scale, it might not (because the price bar uses the closing price at week's end, which might remain above the pattern's low). That allows trends to continue on the weekly scale, whereas on the daily, the trend would end.

Because the results are different depending on the time scale, I don't rank this pattern against other patterns that use the daily scale. However, I did rank them against pipes and diving boards, both of which use the weekly scale.

Tour

[Figure 43.1](#) shows what a horn bottom looks like. After peaking in late December 1993, price plummeted from a high of 50.75 to the horn low at a base of 30.75. On the left side of the horn, price has a tall weekly price range of about \$7. High volume makes the week appear like a one-week reversal (with the same attributes as a one-day reversal but over the course of a week), signaling a possible trend change.

The following week, price closed lower but nowhere near the left horn low. Then, 1 week later, price spiked lower again but closed near the high for the week and just 13 cents below the prior close. The horn bottom was complete: A double price spike separated by 1 week marked the turning point. From then on, price moved up and more than doubled from the horn low in about a year and a half.